



Spot an Error

And WIN Award!

You can win one thousand rupees plus a certificate from the editor of Electronics For You magazine if you spot and report any factual error in the latest issue of the magazine. Your report will be published in a coming issue of the magazine, giving credit to you.

Though every care is taken in preparation of the content for the magazine, an error can slip in at times. So we invite our learned readers to point out any error that they spot, for the benefit of the other readers.

Rules:

- The error has to be reported before end of the month that is mentioned on cover of the magazine
- The report has to be sent in writing or by email addressed to the Editor, Efy Magazine (editsec@efy.in)
- The error should be of factual nature, in the information published in the magazine, and not a typographical, grammatical or syntax error
- The correct information should also be provided along with the error spotted by you
- In case more than one person reports the same error, the one whose report reaches us the earliest will get the award money
- In case two or more persons jointly report an error, the award money will be divided amongst them
- EFY employees, their family members and friends, and Efy associates and their family members and friends are not eligible
- Decision of the editor will be final in this matter

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years, by doing the right things at the right time, China has moved from nothing to become a 'factory for the world.' I told Rajiv in 1988, that nine out of ten of China's politburo members were all hands-on engineers, unlike his street-smart cabinet colleagues. Clever Chinese also managed to have all the modern technology from the world without paying a penny for it.

I paid regular visits to China in 2008 and 2009 to study the development of their SME sector as well as taxation policy. Several copies of this report are lying in related ministries of the former government. Except for a smile and a cup of tea for me, nothing was done to study it. Strangely, I think now is the right time for India for three reasons:

1. China is growing too big, causing discomfort to the western nations. They do not want to keep feeding the dragon and are looking for other places in Asia.

2. China's costs are rising alarmingly; skilled workers are today being paid as much as those in the US or South America.

3. Multi-national world is today looking for a country with a large domestic market having low-cost labour in abundance, like India, to produce intelligent products outside China due to IP issues.

We can benefit from the prevailing sentiment. My thoughts are:

1. India should gear up to attract foreign companies by eliminating bureaucratic control over Indian industry and labour-laws relaxation as China did.

2. The foreign companies will train our manpower at all levels for appropriate work culture and work practices. Our engineers will get to learn material technology and hands-on hardware engineering geared to produce products for the world market and get a grip over engineering processes and practices. (China's private industrial entrepreneurs largely come out of multinational manufacturing plants in that country.) India should create economic and industrial environment and focus on developing infrastructure conducive to enhance industrial efficiency and attracting domestic and foreign direct investments.

3. China has cleverly used its taxation policy to strengthen its SME sector. Subsidy is given very meaningfully to help SMEs to compete. This includes low-cost rental premises for SMEs (as low as ₹ 20/sq m in Guangdong), reduced power rates for two-three years (in many provinces, free power for two years) and clever way to recover VAT on industrial inputs (66 per cent VAT offset on assumption that material input is 66 per cent) to offer low-cost products.

4. There is a lot to learn about public sector industrial re-organisation and reforms like dilution of ownership to benefit inside stakeholders in its successes.

Some rewarding taxation policy suggestions are stated below.

MTB plan for SMEs (cluster approach)

We are a huge nation, each state being as big as a nation elsewhere. SMEs normally serve markets in their own states or regions. All of them struggle to give high quality at low price. We can help them very innovatively through the MTB Plan.

Problem of SMEs is three-fold: technology (access to good-quality, reliable and durable product design), material (inability to buy in bulk and therefore high material cost) and brand name (inability to benefit from a renowned brand name). I used ET&T Corporation owned by the government's Department of Electronics to act as a cluster enterprise of 140 SMEs making colour and B&W TVs and gave them three-prong support:

1. **Technology.** We developed a 35.6cm (14-inch) B&W TV and a 50.8cm (20-inch) colour TV, shared that design with all these SMEs and trained their engineers to produce them in their own factories.

2. **Material.** ET&T bought all the materials that were needed for the TVs in bulk for 100,000 sets at a time. This reduced the material cost by over 40 per cent while ensuring high-quality sourcing.

3. **Brand name.** Had a central quality approval group and allowed these